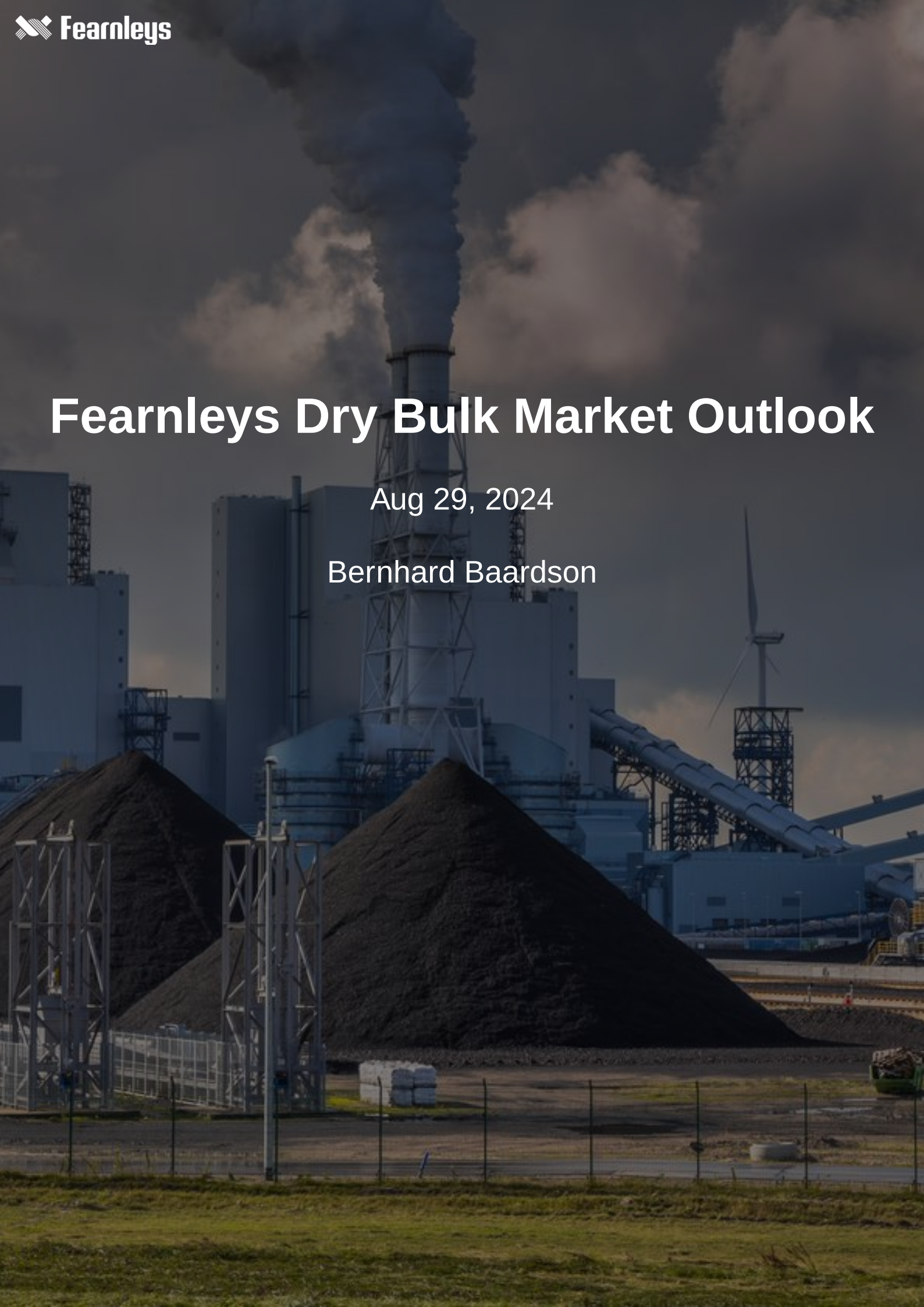


Fearnleys Dry Bulk Market Outlook

Aug 29, 2024

Bernhard Baardson



SUMMARY AND OUTLOOK

In our previous report from early July, we gave the following summary and outlook:

Year-to-date, the Baltic Dry Index has averaged 59% higher than the same period last year, so far in line with our general view that 2024 would be an "upcycle" year and that a 50% or more increase is normal to see during such years. The upturn has primarily been driven by the Capesize segment, with the BCI5TC up 92% year on year. The Panamax 5TC, Supramax 10TC and Handysize 7TC are up by 35%, 33.5%, and 25%, respectively. We believe the year-on-year percentage increases will rise further during the coming two months for all segments, as we expect a much stronger summer than last year.

Next year, we see several downside risks emerging from the second half of the year onward, likely translating into slightly lower earnings averages in 2025 than in 2024. Weakness could primarily be felt in the Capesize segment, as China's import demand is the primary bearish factor we see.

We expect a more bearish year in 2026, but only if the indicators we rely on for our view of a weaker 2025 continues to worsen over the coming quarters. Regarding asset values, we expect little change over the next year. Prices are too high to expect much upside, notwithstanding our bullish view on earnings, whereas downside should be limited by the tight yard capacity and upwards pressure on newbuilding prices.

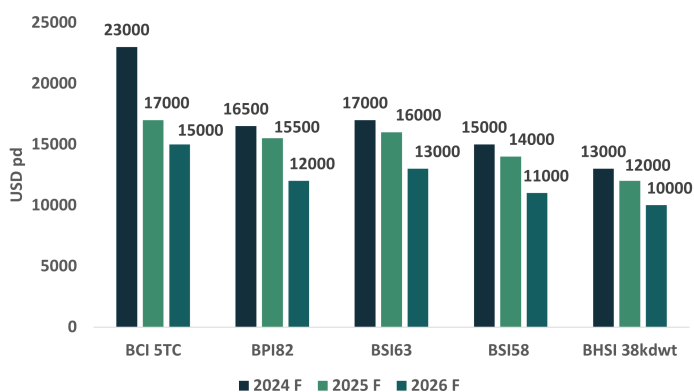
All in all, we maintain our general view of a bullish 2024, a slightly lower market in 2025, and a more bearish 2026.

We make no major changes to our outlook. Recent comments from steel companies in China along with weak data seem to almost confirm that China's coal and iron ore import demand will be lower next year than this year. The Capesize market is therefore likely to average lower next year, although factors like World ex-China demand, Bauxite imports to China, and escalating tensions in the Middle East (more vessels avoiding the Suez Canal) could provide support. For the Kamsarmax, Ultramax, and Handysize segments, lower coal imports to China will weigh on the market next year, although India and Southeast Asian imports are likely to grow, and there could still be a cyclical upturn in developed economies' (Japan, Korea, Taiwan, and Europe) imports. However, macroeconomic indicators are starting to point more clearly towards a late 2025 and 2026 downturn, as we have expected for a while.

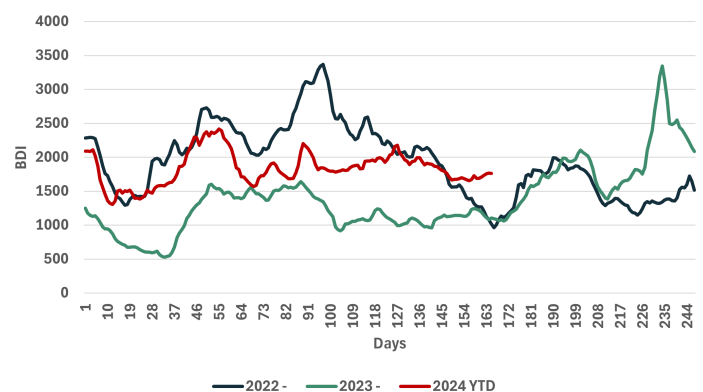
The earnings estimates we gave before this year are likely a bit too high, with the main reason for this being the lack of any cyclical upturn in developed economies' imports.

We therefore lower our estimates slightly for 2024 and 2025, and keep our 2026 estimates unchanged.

Earnings Forecasts



BDI by Year



Baltic Exchange, Fearnleys

SUPPLY OUTLOOK

Total fleet statistics, year to date 2024.

Deliveries: 23.2 million DWT
 Scrapping: 2.4 million DWT
 Year on Year Fleet Growth: 2.9%

Fleet statistics per segment.

Handysize

Deliveries: 3.6 million DWT
 Scrapping: 0.9 million DWT
 Year on Year Fleet Growth: 2.4%

Supramax/Ultramax

Deliveries: 7.0 million DWT
 Scrapping: 0
 Year on Year Fleet Growth: 4.6%

Panamax/Kamsarmax

Deliveries: 6.3 million DWT
 Scrapping: 0.8 million DWT
 Year on Year Fleet Growth: 2.8%

Capesize/Newcastlemax

Deliveries: 6.3 million DWT
 Scrapping: 0.5 million DWT
 Year on Year Fleet Growth: 2.2%

Orderbook to Existing Fleet Ratios (in DWT terms)

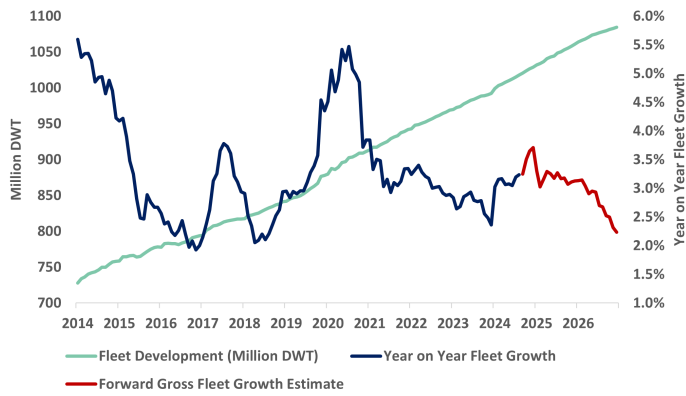
Total Fleet:	9.1%
VLOC:	3.7%
Capesize/Newcastlemax:	6.8%
Panamax/Kamsarmax:	11.0%
Supramax/Ultramax:	12.5%
Handysize 25-50kdw	10.2%

Total fleet growth estimates

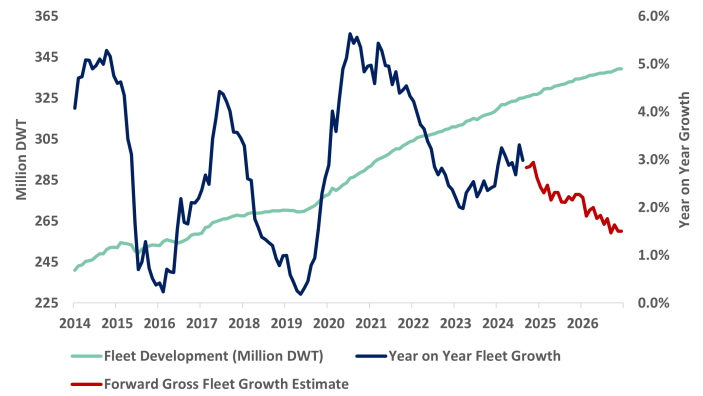
2024: About 3.0%
 2025: About 3.0%
 2026: About 2.0%

Fleet Growth and Forward Gross Estimates

Total Fleet Growth Including Estimate



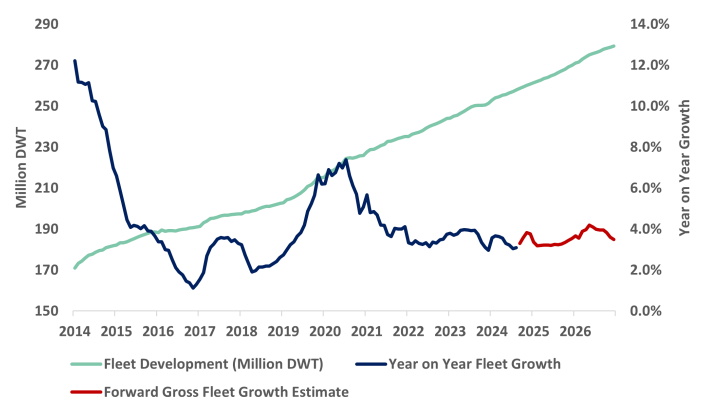
Cape/Newc Fleet Growth Including Estimate



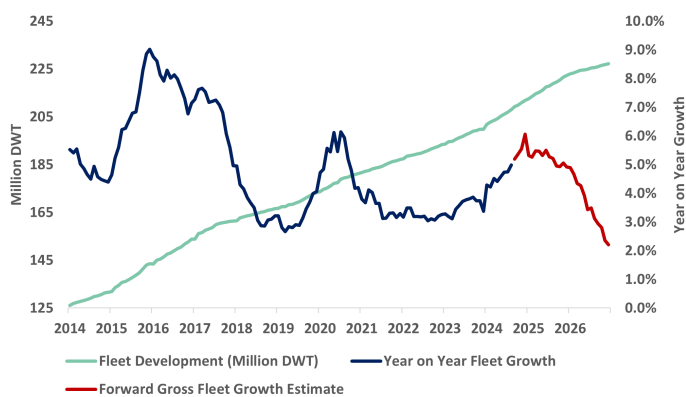
VLOC Fleet Growth Including Estimate



Panamax/Kamsarmax Fleet Growth Including Estimate



Supramax/Ultramax Fleet Growth Including Estimate



Handysize Fleet Growth Including Estimate



IHS, Fearnleys

PERIOD RATES AND ASSET VALUES

Basis the correlation between earnings and asset values since 2010, we believe the following adjustments have to be made in order to bring the relationship back to normal.

Handysize: 1 year time charter rates either have to rise above 15.000 USD pd, or the 10-year-old value has to fall to around 17 million USD.

Supramax: 1 year time charter rates either have to rise to around 19.000 USD pd, or the 10-year-old value has to fall to

about 20 million USD.

Kamsarmax: 1 year time charter rates either have to rise above 20.000 USD pd, or the 10-year-old value has to fall to 23-24 million USD.

Capesize: 1 year time charter rates either have to rise towards 25.000 USD pd, or the 10-year-old value has to fall below 40 million USD.

In our reports before the summer, we outlined the view that 1-year time charter rates will make year-to-date highs for all segments during the second half of this year. This looks less likely currently, especially for Capes given the steep drop in steel and iron ore prices. However, seasonal factors like increased grain exports from the US and Canada and higher coal demand in Asia could result in year-to-date highs for the Kamsarmax, Ultramax, and Handysize segments.

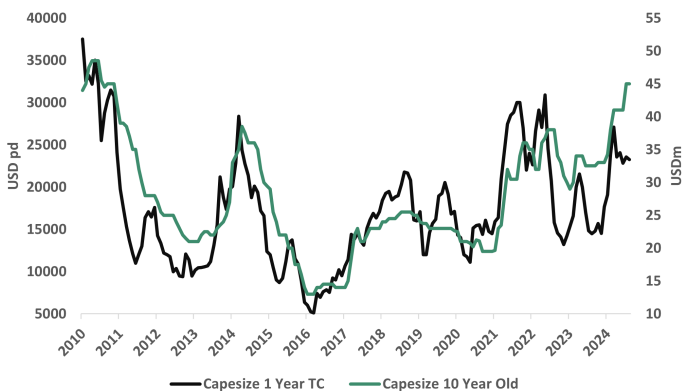
In any case, we believe it could be hard to support valuations at current levels, as we see downside market risks building from late 2025 and through 2026.

Should our forward viewpoints prove correct, the next question arising is whether the prevailing regime of expensive asset values relative to earnings will continue. For example, if average earnings in 2026 end up being similar to 2023, will values be supported at 2023 levels, or will they go lower?

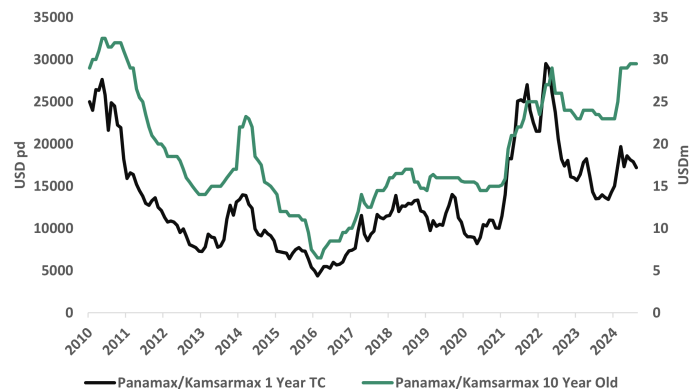
The key factors in this regard are yard capacity and interest rates. Come 2026, will yard capacity be more available than now? And, how much will interest rates in the US be cut in the event of an economic downturn/recession?

Asset Values vs Period Rates

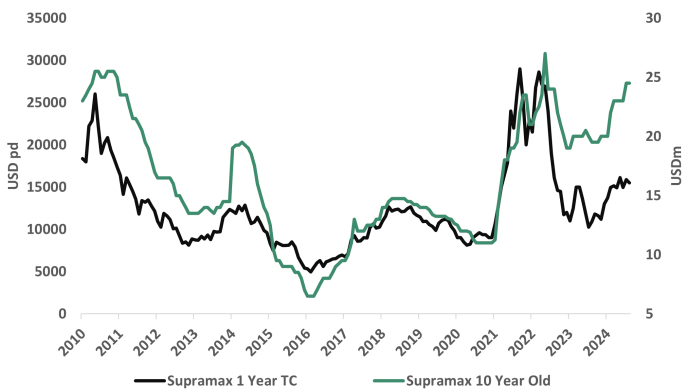
Capesize 1 Year TC vs Capesize 10 Year Old



Panamax/Kamsarmax 1 Year TC vs Panamax/Kamsarmax 10 Year Old



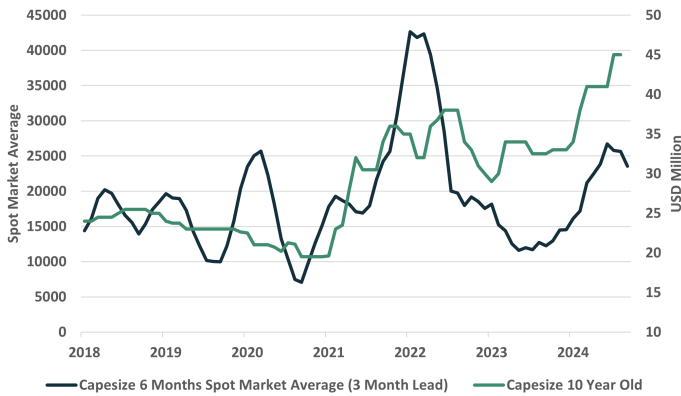
Supramax 1 Year TC vs Supramax 10 Year Old



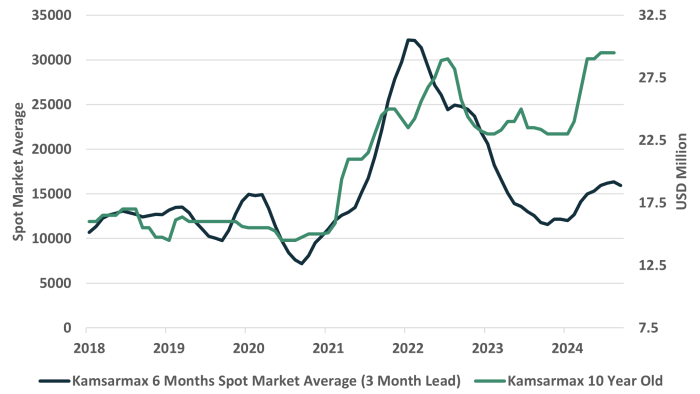
Handysize 1 Year TC vs Handysize 10 Year Old



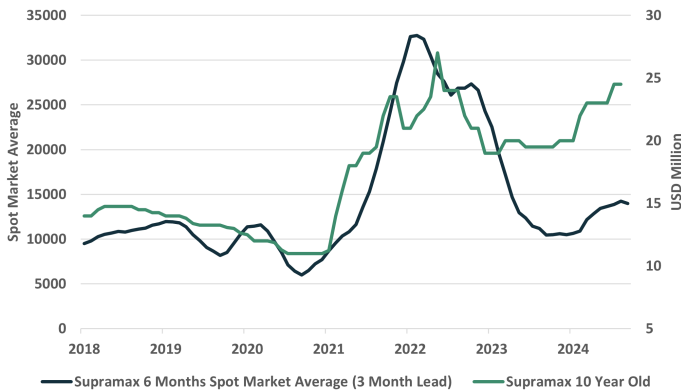
Capesize 6 Months Spot Market Average (Moved 3 Months Forward) vs Capesize 10 Year Old



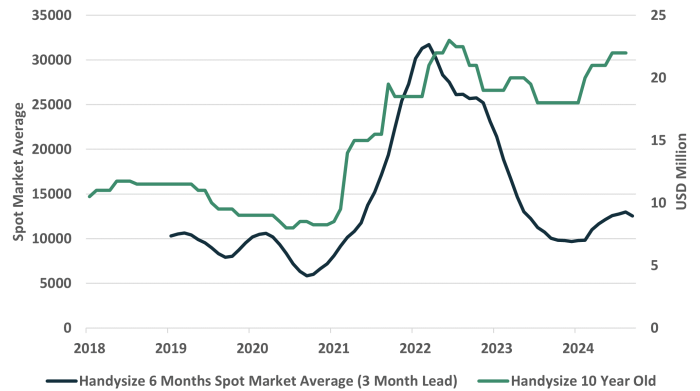
Kamsarmax 6 Months Spot Market Average (Moved 3 Months Forward) vs Kamsarmax 10 Year Old



Supramax 6 Months Spot Market Average (Moved 3 Months Forward) vs Supramax 10 Year Old



Handysize 6 Months Spot Market Average (Moved 3 Months Forward) vs Handysize 10 Year Old

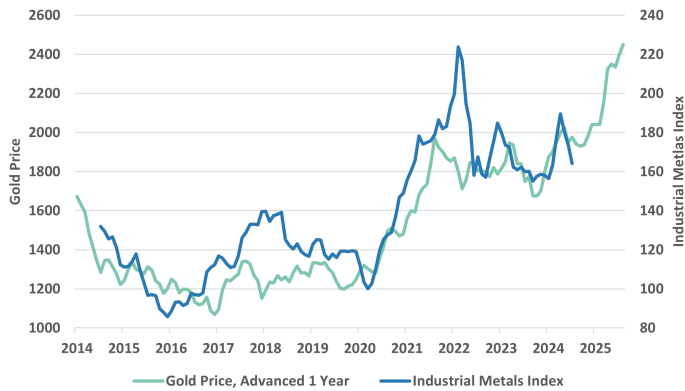


Baltic Exchange, Fearnleys

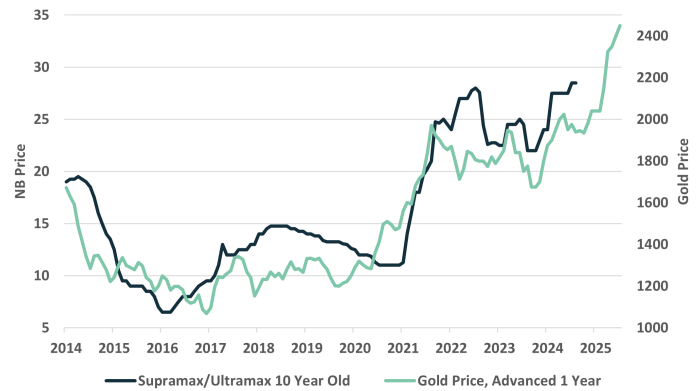
Asset Values vs Commodity Prices

The below chart displays the close correlation between commodity prices and dry bulk asset values. Rising inflation is always supportive of values, which is shown by the charts plotting the price of gold or industrial metals against the price of a 10-year old Ultramax. The gold price often has a 1-year lead on values, and is suggesting support for values until mid next year.

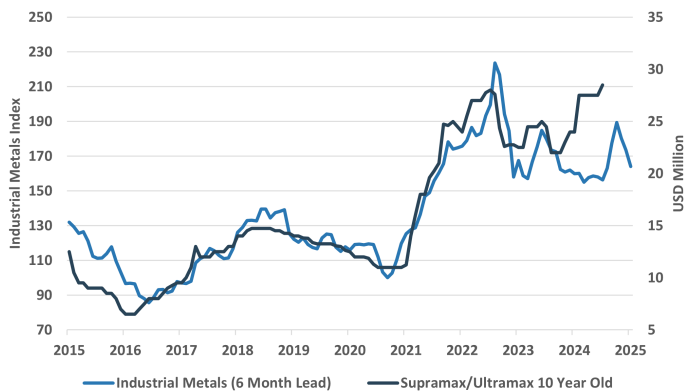
Gold Price (Moved Forward 1 Year) vs Industrial Metals Price Index



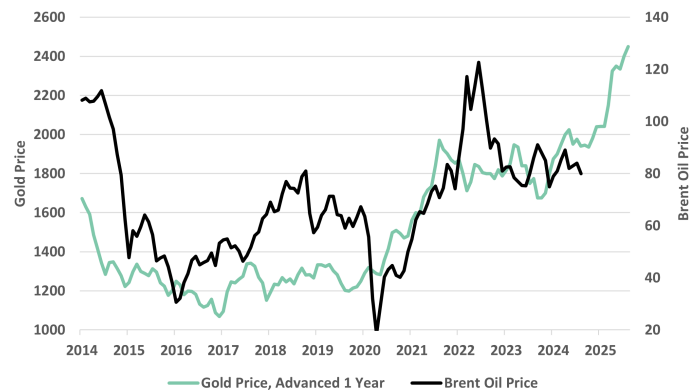
Gold Price (Moved Forward 1 Year) vs Supramax/Ultramax 10 Year Old



Industrial Metals Price Index (Moved Forward 6 Months) vs Supramax/Ultramax 10 Year Old Price



Gold Price (Moved Forward 1 Year) vs Brent Oil Price



S&P Global, FRED, Fearnleys

TRADE FLOWS

Growth rates have fallen in the last months

Shipment volume growth remains firmly above supply growth. However, growth declined from slightly under 5.0% earlier this year to 3.9% in July. Most of the decline in growth is due to China, where import growth declined from nearly 9% in January to slightly over 3.0% in August. We expect China's import growth to continue falling over the coming months (more detail in the macro section of this report). However, total shipment volume growth could remain above supply growth, as we expect continued import growth in the World ex-China. Notwithstanding weaker shipment volume growth, the distance side of the equation is contributing positively, with higher volumes in the Atlantic along with the deviations from the issues in the Suez Canal. The total ton-time growth of the fleet is therefore considerably higher than shipment volume growth, at about 8.0%. There could be a further increase in sailing distances should the Israel vs Iran Proxies War escalate further, as it could lead to a further reduction in ships sailing through the Suez Canal. In July, there were 326 dry bulk vessel transits of the Suez Canal, compared to 515 transits in July 2023.

Below is a summary of trade flow statistics through July. Per commodity group, the main weakness is seen in coal trades, where export growth is flat compared to last year. However, there are big differences in growth rates depending on which country one looks at. China, India, and Southeast Asia's import growth has been very high this year, whereas Europe, Japan, and Korea's import growth has been negative. On the export side, strong growth in Indonesian and Colombian volumes has been offset by a contraction in Russian and South African volumes. The other major commodity groups, iron ore, minor bulks, and grains, are all growing above the rate of supply growth.



Year-on-Year Trade Flow Statistics Through July

Iron Ore

Exports

Australia: 0.5%
Brazil: 9.3%
Canada: 6.3%
India: 10.5%
South Africa: -1.9%

Total Exports: 3.8%

Imports

China: 3.6%
World ex-China: 2.8%

Coal

Exports

Australia: -0.3%
Colombia: 6.2%
Indonesia: 6.7%
Russia: -16.7%
South Africa: -7.2%
USA: +1.9%

Total Exports: +0.2%

Imports

China: 7.8%
India: 8.0%
South East Asia: 11.7%
Europe and Med: -24%
South America: -6.7%
Japan: -6.0%
Korea: -5.2%

Grains

Total Exports: 5.3%
Brazil: 4.3%
Argentina: 68.0%
Russia: -6.1%
Ukraine: 125.0%

Total Imports: 6.7%
China Imports: 8.1%

World ex-China Imports: 5.9%

Minor Bulks

Breakbulk: -0.3%

Fertilizers: 6.4%

Steels: 11.8%

Pellets Group: 25.5%

Other Minor Bulks: 2.4%

Bauxite: +10.8%

Total Minor Bulks: 4.0%

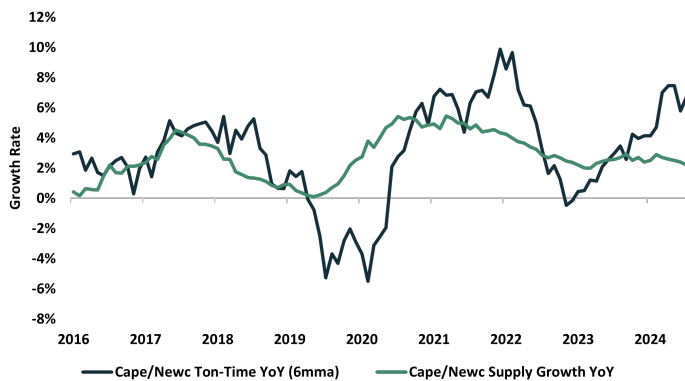
Total Atlantic Exports Growth: 5.5%

Total Pacific Exports Growth: 2.8%

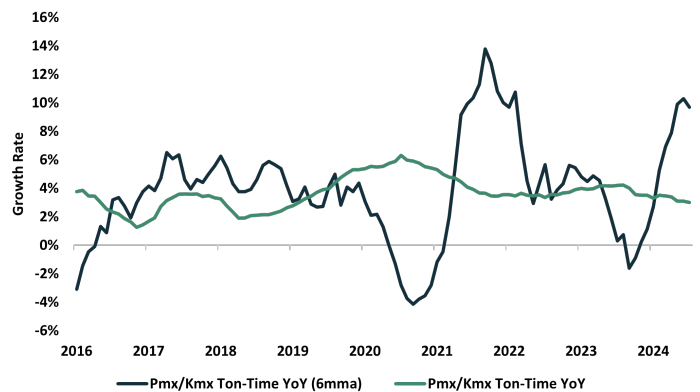
Total Exports Growth: 3.9%

Total Supply Growth: 2.9%

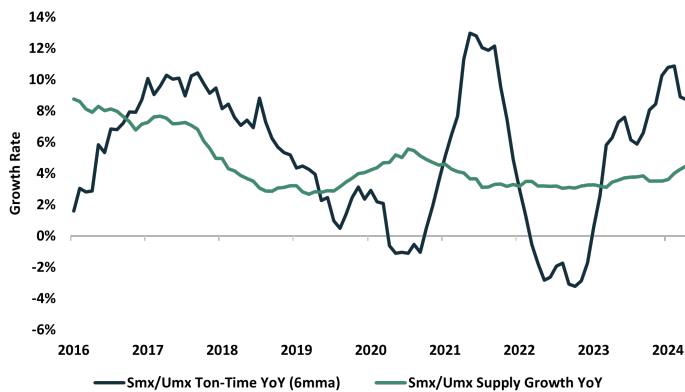
Capesize/Newcastlemax Ton-Time Growth vs Supply Growth



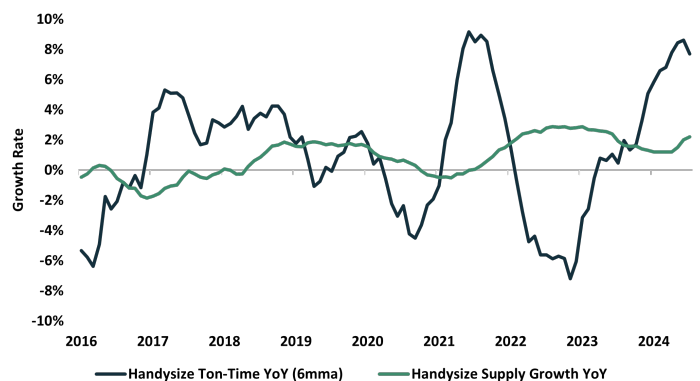
Panamax/Kamsarmax Ton-Time Growth vs Supply Growth



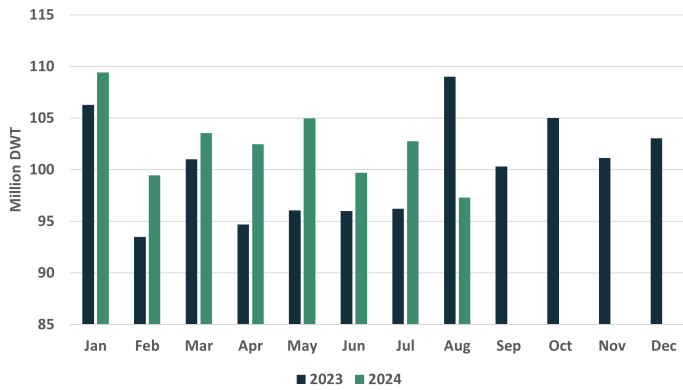
Supramax/Ultramax Ton-Time Growth vs Supply Growth



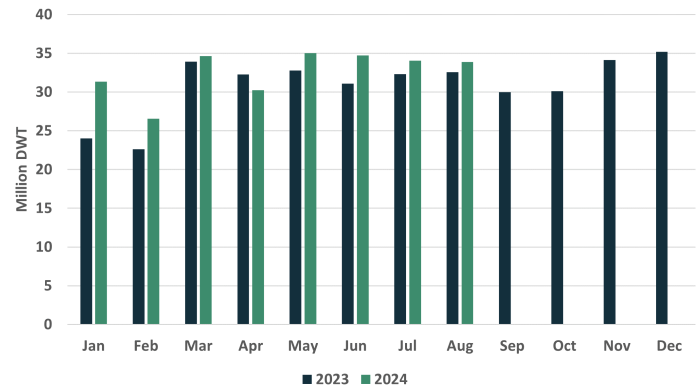
Handysize Ton-Time Growth vs Supply Growth



China Iron Ore Imports, 2023 vs 2024



China Coal Imports, 2023 vs 2024



MACRO ECONOMIC OUTLOOK

The upcycle is well and alive, but risks are building from 2H 2025 and 2026

The global economy remains in expansion mode, as displayed by various OECD indices, and clearly visible from dry bulk demand growth numbers. However, the upturn is not completely synchronized. Manufacturing activity in the Eurozone remains in contraction, whereas in the US, Japan, and Korea it remains barely in expansionary territory. There are some indications from liquidity factors like interest rates and currencies that there will be a more pronounced cyclical upturn over the next year in these regions. However, there were also indications of this through the end of last year and before the summer of this year, but the upturn has so far not materialized. Total dry bulk imports to Europe, Japan, Korea, and Taiwan ended at about 900 million tons last year, whereas in previous upcycle years imports have usually ended at a bit over 1 billion tons. Should a cyclical upturn materialize, it might therefore cause further upside for the Ultramax and Kamsarmax markets, and provide support for the Capesize market.

We write “support” regarding the Capesize market because we find it highly likely that China’s iron ore and coal import growth will be negative next year. Imported iron ore consumption at Chinese steel mills is about 3% lower than in the same period last year, yet iron ore imports are 3.6% higher, due to inventory building in ports. With steel mills' margins deeply negative (99% of mills are currently losing money) and stimulus measures unsuccessful in reviving the property sector, the outlook is for 2025 to be a year of inventory drawing and probably negative growth in steel demand.

China’s bulk commodity import growth is an important driver of the macro-economic cycle. This is displayed in the mid-left chart below, which plots OECDs economic indicator for the G-20 countries in aggregate vs China’s bulk commodity import growth rate shifted one year forward. China’s import growth points to an economic cycle peak between Q4 2024 and Q1 2025, with a continued slowdown into the autumn of 2025. With negative Chinese import growth likely going forward, one can expect the economic cycle to continue to weaken until the end of 2025 and the beginning of 2026.

Another macroeconomic indicator pointing toward weakness from late 2025 onwards is the change in energy prices. The preceding 18 months' change in the price of coal, oil, and gas is going less and less negative each month, indicating that the global economy's boost from the decline in energy prices since Q2 2022 is fading. Should the price of coal, gas, and oil rise from current levels, it will point to weak economic growth in 2026, as the price changes often leads by about 18 months (mid-right chart below). In turn, that could mean that an eventual cyclical manufacturing upturn in developed economies will be short-lived, and it might start weakening again from Q3 2025 onwards. There are also several recession warning signs from the yield curve in the United States, some weakening labor market data, and an upcoming Presidential election. On the latter point, it is worth noting that economic and stock market performance often is weakest during the first or second year of a Presidential term.

Otherwise, economic growth in India and Southeast Asia is strong and is likely to continue growing unless the next

economic downturn evolves into a major global recession. Will the next downturn be major? Record high stock market valuations in the US, the Chinese property sector, escalating military tensions in the Middle East and Russia/Ukraine are all factors that could mean it will be. On the other hand, interest rate levels are high, which means a downturn could be cushioned by slamming rates back down to zero percent. For dry bulk markets, the key point is that we expect shipment volume growth to go negative at some point during the second half of 2025 and remain there through most or all of 2026.

In terms of the growth outlook for each major country/region, we expect the following:

China:

Negative import growth in 2025, possibly a recovery in 2026, depending on stimulus measures done (or not done) next year.

Developed economies:

Most likely higher imports over the next year, but a cyclical downturn again from late 2025 and through 2026.

India and Southeast Asia:

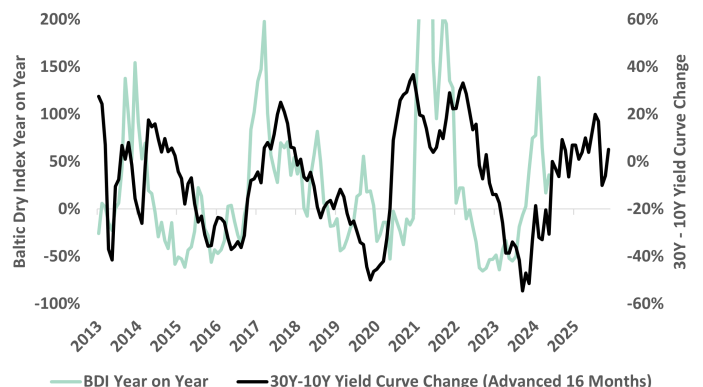
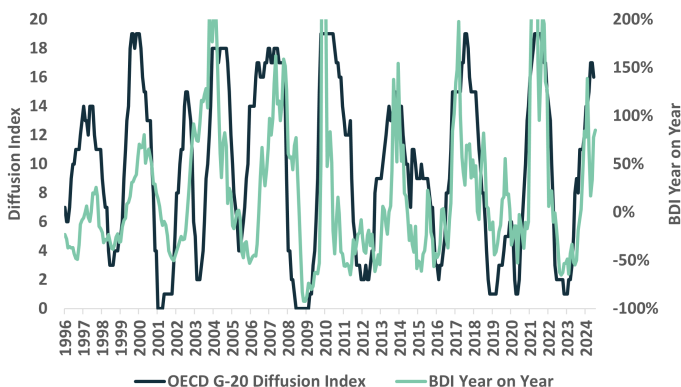
Continued import growth in 2025. Possibly zero or negative import growth in 2026, depending on how weak the next global economic downturn will be.

South America, Africa, and the Middle East:

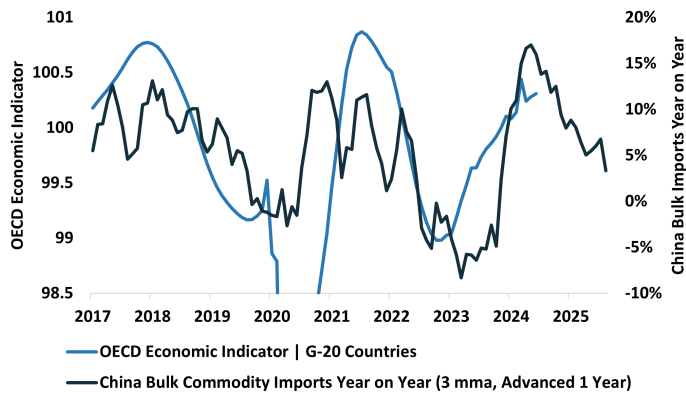
Cyclical weakness from late 2025 and through most of 2026.

Should these assessments be correct, the Capesize market is likely to average lower next year. The Kamsarmax, Ultramax, and Handysize segments could average around the same levels as this year, although downside risks are likely to increase from mid-2025 onwards. In 2026 weakness will likely persist, though the Capesize segment might recover before the smaller sizes.

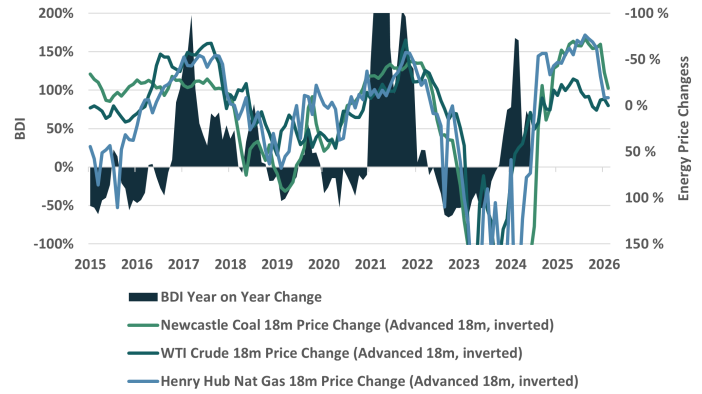
OECD Diffusion Index vs Baltic Dry Index Year on Year Change US Interest Rate Curve Change Lead vs Baltic Dry Index Year on Year Change



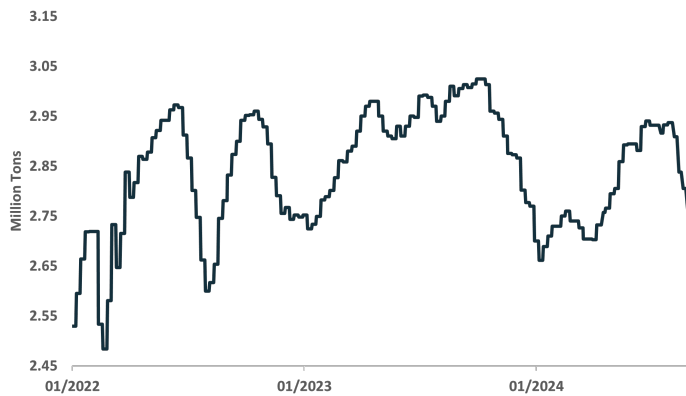
China Bulk Commodity Imports Growth (Moved 1 Year Forward) vs OECD Economic Indicator for G-20 Countries



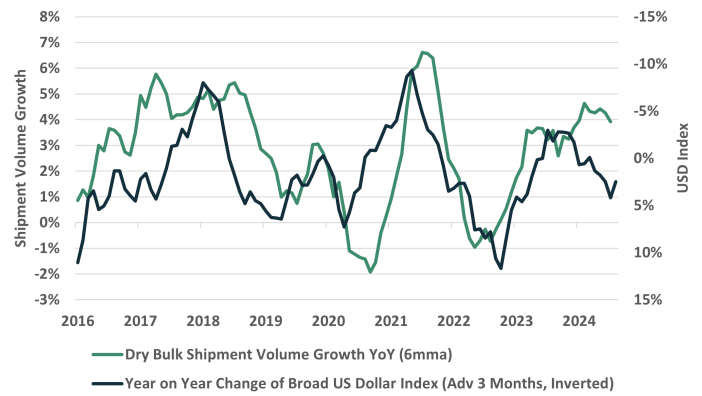
Gas, Oil and Coal Price Change Lead vs BDI Year on Year Change



China Imported Iron Ore Consumption (Million Tons per Day)



USD (3 Months Lead) vs Dry Bulk Shipment Volume Growth



FRED, OECD, S&P Global, AxsMarine, Baltic Exchange



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